Munich RE

Excerpt/public version of:
Responsible Investment Guideline

Policy of Munich Re Group
Version: 1 January 2026

1 Objective

This Responsible Investment Guideline (RIG) outlines the general framework for Group investment activities, setting out responsible standards and requirements that are to be upheld within Munich Re Group in order to implement sustainability in our investment strategy, taking sustainability criteria into account. The measures described in this document aim at supporting our progress towards fulfilling our Group Climate Ambition.

As Munich Re Group is aware of its responsibility and influence as a large asset owner and investor, the integration of sustainability criteria is a key element of our investment strategy. We use both general sustainability criteria, which are explained in our sustainability reporting (e.g., climate, biodiversity and human rights), and specific sustainability criteria tailored to individual asset classes (e.g., energy efficiency or ESG ratings).

Munich Re Group was one of the first signatories of the Principles for Responsible Investment (PRI) and is committed to clear greenhouse gas (GHG) reduction targets. Moreover, Munich Re Group was part of the Net Zero Asset Owner Alliance (NZAOA) before it decided to leave the alliance in June 2025. We are convinced that we are be able to pursue our climate targets in a more focused and targeted manner on our own. Further details on this decision can be found in our public statement[1]. In addition to these targets, the climate tackling investments that Munich Re Group pursues are intended to generate a positive, sustainable effect alongside financial returns.

2 Scope of application

2.1 Entities in scope

This Guideline is directly applicable to Munich Reinsurance Company and ERGO Group AG, including its branches and representative offices. All Munich Re and ERGO Group entities with licenses for primary insurance or reinsurance and our internal asset managers (MEAG AMG, Munich Re Investment Partners) are required to implement the objectives, principles and requirements as stipulated herein by adopting this Guideline or introducing an equivalent norm, or by other adequate means. As concerns third-party asset managers, we strive to reach a contractual agreement on the application of this Guideline or a comparable standard.

2.2 Assets in scope

The RIG applies to the investment of Munich Re Group's proprietary assets, irrespective of whether they are managed by Munich Re or ERGO themselves, by Group Investment Management (GIM), by our internal asset managers or by a third party.

This Guideline focuses on direct investments in the asset classes of equities, corporates, government and covered bonds, and in alternative investments, with minor exceptions as detailed below. We aim to extend the scope of the RIG to encompass all assets wherever possible, depending on various factors such as asset-class characteristics, industry standards, and the constantly evolving data and analytics environment. We will review the Guideline at least every two years.

The RIG does not apply to any assets/derivatives in the International Financial Reporting Standards (IFRS) categories "Insurance-related financial instruments" and "Investments for unit-linked insurance". These assets

[1] https://www.munichre.com/en/company/media-relations/statements/2025/statement-2025-06-06.html

held or derivatives used to manage, cover or hedge reinsurance financial structures, products sold as risk management solutions or finance products for non-Group clients are instead subject to the guidelines applicable to Munich Re Group's insurance business.

For mutual funds and exchange traded funds (ETFs), it is not feasible to negotiate the inclusion of specific restrictions with the manager, and transparency on the funds' contents is limited. Therefore, due care must be taken in the selection process before buying mutual funds and ETFs. We analyse sustainability criteria, such as Morgan Stanley Capital International (MSCI) ratings and other available data, to ensure a best-effort approach to the selection process.

2.3 Overarching, important remarks

In cases involving indirect investments (fund investments), or investments via non-Group asset managers, Munich Re Group has **limited transparency and influence** regarding the enforcement of the RIG requirements. Hence, compliance with the requirements described in this Guideline, e.g. exclusions and restrictions, cannot be fully ensured.
We aim to identify these cases and to apply sustainability processes to them as far as feasible. If this is not possible, Munich Re Group may still choose to invest if the counterparty provides a written justification (e.g. via email) explaining why an exclusion is not feasible, along with relevant policies or explanations of their general approach or processes that meet our standards.

For alternative investments, if a specific exclusion is not possible, this has to be made transparent in the GIM Alternative Investments Investment Committee (GIM AIIC). For private equity and private debt funds, the asset manager should make best efforts to negotiate the inclusion of the relevant restrictions in the fund and document their efforts, or encourage the fund manager to include our exclusions and restrictions in the production/portfolio selection process.

In an exceptional case where **data from external providers** is demonstrated to be **outdated, inaccurate (deficient, incorrect, misleading) or incomplete**, we may conduct a comprehensive assessment, involving our internal research analysts and additional reliable data sources, to ensure a solid basis for decision-making. This may result in changes to our exclusion list, e.g. additional exclusions of or exclusion exceptions for affected issuers.

We implement our exclusions on issuers for which we **detect a unique identifier** that is suitable for implementation by our asset managers.

3 Governance

Strategic decisions on sustainability in investments are made by the Board of Management (BoM) in the ESG Committee (ESG C), supported by the ESG Management Team (ESG MT). On the investment side, the ESG Investment Committee (ESG IC) focuses specifically on the implementation of the sustainability strategy in investments. In addition, the GIM AIIC focuses, in particular, on matters related to alternative assets.

As a member of the Board of Management, the Chief Investment Officer (CIO) is responsible for the Group's investment management. The GIM division, which reports to the CIO, is the asset owner function responsible for the Group's sustainable investment strategy and has set up its own GIM Sustainability in Investments team (GIM1.1.4) for this purpose. Besides this team, there are dedicated sustainability teams at our internal asset managers MEAG and Munich Re Investment Partners.

In order to anchor the topic of sustainability in our investment processes, the GIM Sustainability in Investments team is supported by ESG multipliers throughout GIM. This structure is also mirrored in asset management at MEAG, which manages a large proportion of our investments. The implementation of our sustainability strategy at MEAG is supported by the membership of MEAG representatives in GIM's ESG IC. It is further strengthened by the ongoing exchange of information between the sustainability teams in the segment of investments and by the ESG multipliers within various portfolio management teams.

Munich Re Group understands reputational risk as a risk of possible damage to Munich Re Group's reputation, which arises as a consequence of a negative public perception, or a deterioration in rating or company value, etc. Reputational risk committees have been established for each business segment across ERGO, MEAG and Munich Re. These committees, if approached with a reputational risk case in their area of responsibility, review the matter and decide whether such planned transactions are appropriate. The GIM Reputational Risk Committee (GIM RRC) supports our efforts to address sustainability risks holistically by analysing and assessing reputational risks as they relate to investments. Sensitive issues that could lead to reputational risks have to be dealt with by adhering to the risk management and compliance processes. The GIM RRC gets involved if a reputational risk is indicated regarding individual investments as far as Munich Re Group has the power to direct individual transactions, or investment-related documents that are negotiated with asset managers. For cases, especially those involving (potential) breaches of the norm, the respective compliance unit has to be contacted.

The existing processes as set out in the Risk Management Directive, Compliance Directive, and Compliance Guideline, as well as its related rules of procedure must be complied with. This also applies in the event of potential reputational risks.

4 Approach to sustainability

The systematic integration of sustainability criteria into our investment management activities is fundamental to our investment strategy which comprises four key elements: systematic integration of sustainability criteria into the investment processes; clearly defined exclusion and restriction criteria; selected climate tackling investments, including renewable energy and certified real estate investments; and stewardship activities, including engagement and proxy voting. In addition, we require that all our asset managers apply sustainability criteria when managing our portfolios.

We are convinced that integrating sustainability criteria into investment decisions contributes to a better, more holistic risk management of the assets we own or invest in. We believe sustainability integration leads to higher risk-adjusted returns in the long term. We combine various approaches to the integration of sustainability criteria across our investment value chain, from strategic asset allocation to asset management, such as climate tackling investments (which aim, for example, to contribute to climate change mitigation, see section 4.4.1), norm-based exclusion criteria (e.g., Thermal Coal or human rights), holistic stewardship practices, and the inclusion of sustainability criteria in financial analysis. This helps us to identify risks and opportunities beyond standard financial analysis.

Our sustainability teams within GIM and at our internal asset managers work closely with sustainability experts when integrating sustainability aspects into our investment processes. External data providers supply us with issuer-specific ESG ratings, KPIs (e.g., GHG emissions data), and issuer-specific screening of business activities and controversies, according to our needs. We use relevant research data in our financial analysis to better understand sustainability risks and opportunities, and as input when screening investments regarding specific sustainability topics as well as exclusion criteria. They also serve as input for screening the majority of our assets for specific sustainability criteria.

4.1 Integration of sustainability criteria

We integrate sustainability criteria into the investment process via corresponding data and analysis. Given the dynamic and evolving nature of the sustainability landscape, we continuously monitor emerging sustainability topics and changing regulatory requirements.
At Munich Re Group, sustainability criteria are part of the M&A process when considering investments in new strategic participations, within the strategic fit assessment and, when deemed relevant, as part of the due diligence.

The following topics are especially important to us when integrating sustainability aspects into our investment decisions:

Biodiversity

The urgent need to address biodiversity loss and its implications for asset owners cannot be overstated. The growing concern over the extent of biodiversity loss has led to a heightened focus on this issue in sustainability discussions at the corporate level. As companies face increasing scrutiny and pressure to disclose their environmental risks, asset owners are also recognising the relevance of biodiversity in their investment decisions.

Controversial weapons

Weapons-related business is a sensitive international topic. Munich Re Group pursues a prudent approach and carefully assesses any potential impacts that such business might have on our reputation. The Group has made a commitment to not supporting businesses that do not fully comply with international conventions. Hence, we exclude investments in issuers involved in controversial weapons categories that are considered to cause unnecessary or unjustifiable suffering to combatants or to affect civilians indiscriminately and that are deemed inhumane by international conventions.

Food-related transactions

Munich Re Group takes a critical view of investments in food-related commodities from a sustainability perspective, as they may cause social imbalances.

Human rights

With its Declaration of Principles on the Respect and Protection of Human Rights, Munich Re Group has expressed the importance of human rights and the high priority they have for the entire Group. This means that we underpin our understanding of responsibility for human rights by adhering to international guidelines and standards.

Oil & Gas
The Oil & Gas sector increasingly needs to understand the implications of the energy transition for its operations and business models, and to demonstrate the contributions it can make to reducing GHG emissions and achieving the goals of the Paris Agreement. Our dedicated emission reduction targets are elaborated in the next chapter.

Oil Sands
The detrimental effects of extracting oil from Oil Sands (also known as tar sands) can be significant for the environment and local communities. Among other things, extracting oil from Oil Sands consumes more energy and resources than the extraction and refining of conventional oil, and it is among the most carbon-intensive methods of crude oil production. Our dedicated emission reduction targets are elaborated in the next chapter.

Thermal Coal
Since power generated by Thermal Coal is responsible for a large part of all emissions from the energy sector globally, we see reducing Thermal Coal as a major accelerator for reaching net zero. The firing of Thermal Coal for energy is the single largest contributor to the man-made global temperature increase (see "Position Paper: Thermal Coal" by the NZAOA[2]). Our dedicated emission reduction targets are elaborated in the next chapter.

4.2 Target setting: Munich Re Group Climate Ambition 2030

In December 2025, as part of our Climate Ambition 2030, Munich Re Group set new climate targets until year-end 2030. Regarding investments, these consist of three target categories: The first category comprises our decarbonization targets for the asset classes listed enterprises, real estate equity (third-party use incl. funds) and direct infrastructure, together with direct private equity, and direct private debt, and for the sectors Thermal Coal (phase-out) and Oil & Gas. These targets are measured against the base year 2025 if not stated otherwise. The second category is a volume build-up target for climate tackling investments, which are described in section 4.4.1. The third category encompasses an absolute engagement target for high emission investments (sum since 2020). In addition, we aim to reduce GHG emissions from our investment portfolio to net zero by 2050. Munich Re Group expresses the above-stated 2030 targets, and 2050 aims in the expectation that governments meet their own pledges to achieve the goals of the Paris Agreement. More information can be found on the Munich Re website or in our press release on 11 December 2025.

[2] https://www.unepfi.org/wordpress/wp-content/uploads/2020/11/Net-Zero-Asset-Owner-Alliance-Thermal-Coal-Position.pdf

4.3 Exclusions and restrictions

We define exclusions from, and restrictions on, the investment universe to avoid undesirable activities that do not fit our sustainability strategy. Exclusions are measures by which we explicitly do not invest in selective issuers due to sustainability concerns, whereas for restrictions, certain pre-conditions need to be fulfilled before we invest in specific issuers. **The applicability of the measures described in the following chapters is subject to the overarching, important remarks outlined in section 2.3.**

4.3.1 Regarding liquid assets

Exclusions are implemented using the centrally managed "listed issuer exclusion lists"[3] based on our negative screening process and criteria, which are binding for all of our asset managers. The GIM Sustainability in Investments team reviews the lists of excluded issuers on a quarterly basis to the best of their knowledge regarding the screened issuers. Exclusions and restrictions are applicable to either listed equities, corporate bonds, commodities, and sovereigns, sub-sovereigns and government agencies, or several of these asset classes as described below. **The applicability of the measures described in the following chapters is subject to the overarching, important remarks outlined in section 2.3.**

4.3.1.1 Listed equity and corporate bonds

4.3.1.1.1 Controversial weapons

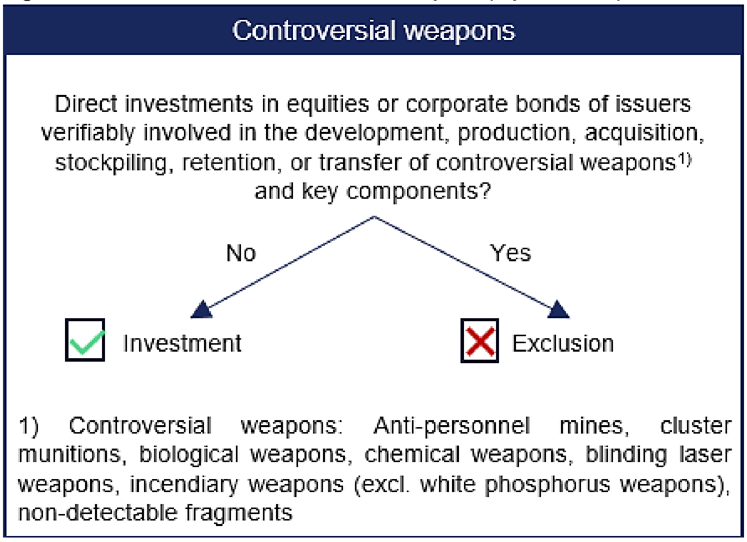
Exclusion

Munich Re Group rules out direct investments in equities or bonds of issuers verifiably involved in controversial weapons and key components through their own operations, through a subsidiary (majority ownership/controlling shareholder), through a joint venture (regardless of ownership stake) or as a bond issuer issuing debt for a company that is verifiably involved in controversial weapons. This refers to companies which are verifiably involved in the development, production, acquisition, stockpiling, retention, or transfer of controversial weapons, as well as assistance in any of these activities. We define controversial weapons according to the following weapon categories:

- Anti-personnel mines
- Cluster munitions
- Biological weapons
- Chemical weapons
- Blinding laser weapons
- Incendiary weapons (excluding white phosphorus weapons)
- Non-detectable fragments

[3] We implement our exclusions for issuers for which we detect a unique identifier that is suitable for implementation at our asset managers.

Figure 1: Decision tree for controversial weapons (liquid assets)

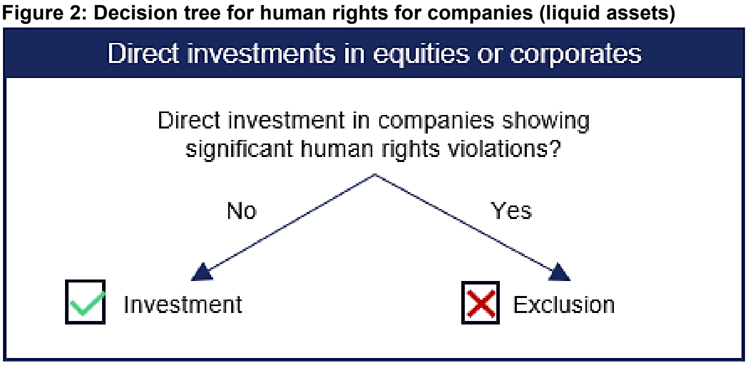


4.3.1.1.2 Human rights

Exclusion

In order to integrate human rights considerations into our investment decisions, we conduct a Group-wide risk analysis: A norm-based screening by which external data is assessed and validated internally, leading to a list of excluded companies.
This due diligence process, steered by the Munich Re Group Sustainability Department (Munich Re Group Human Rights Officer), involves a scoring methodology consisting of various human rights-related factors, such as human trafficking and forced labour. Direct investments in equities and bonds issued by these excluded companies showing significant human rights violations are not permitted. The methodology for identifying such companies is continuously revised. GIM monitors the portfolio regularly and evaluates remedial measures in the case of an ad-hoc event.

Figure 2: Decision tree for human rights for companies (liquid assets)



4.3.1.1.3 Oil & Gas

Exclusion

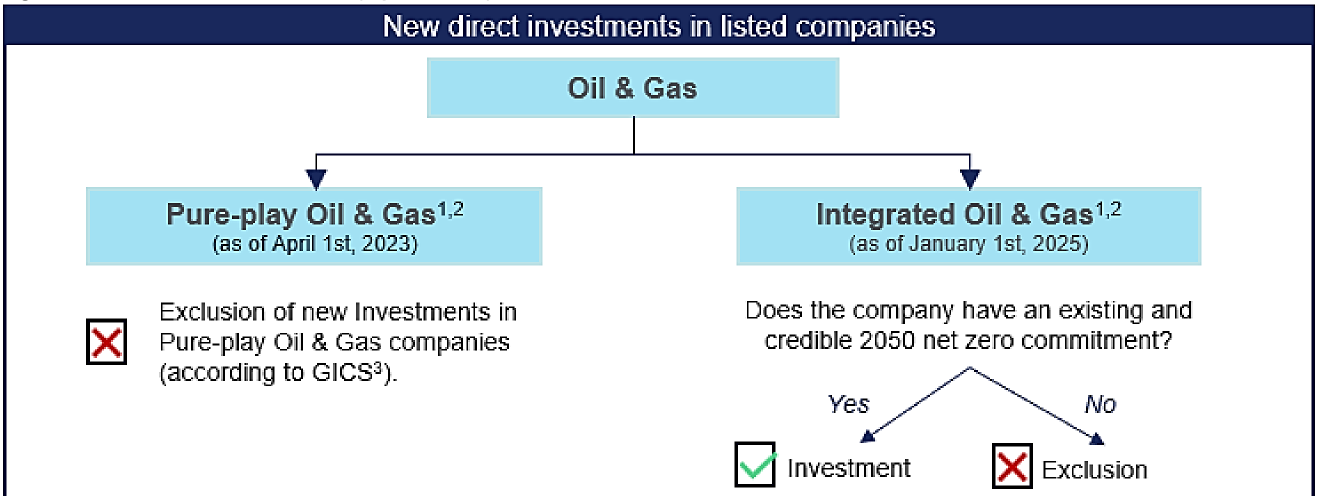
We screen companies in the Oil & Gas sector and analyse the intensity and development of their GHG emissions. For the sector target, we use the Global Industry Classification Standard (GICS) Sub-Industries. For the purposes of calculating our GHG footprint, we define relevant Oil and Gas sectors as Oil & Gas Exploration & Production, Oil & Gas Refining & Marketing, Oil & Gas Drilling, and Integrated Oil & Gas.

In order to further facilitate the achievement of the Paris Climate Agreement's goals, we ceased to make new direct investments in pure-play Oil & Gas companies. We define these companies as listed companies within the GICS Oil & Gas Subindustries, except those in the Integrated Oil & Gas sector.

For new investments, we require a credible commitment from listed Integrated Oil & Gas companies to net zero GHG emissions by 2050, including corresponding short- and mid-term milestones. These companies are selected and assessed based on data provided by Institutional Shareholder Service (ISS) ESG, a recognised provider of sustainability-related data analysis.

Exceptions apply for green bonds and engagement under specific conditions:
We may invest in green bonds issued by Oil & Gas companies which are compliant with an accredited green bond framework (by the International Capital Market Association (ICMA) Green Bond Principles or the EU Green Bond Standard) and have been assessed by an external review provider. Under specific conditions, GIM Sustainability in Investments may decide to engage with companies in line with the approach outlined in section 4.5 rather than ceasing to invest.

Figure 3: Decision tree for Oil & Gas (liquid assets)



1) Exceptions for green bonds which are compliant with an accredited green bond framework (by the International Capital Market Association (ICMA) Green Bond Principles or EU Green Bond Standards) and have been assessed by an external review provider. 2) Exceptions for companies with which we are in an active engagement, [3]GICS = Global Industry Classification Standard (see table below)

GICS Code	GICS Subindustry	Part of the Value Chain	Oil & Gas Policy Exclusions as of April 2023
10102010	Integrated Oil & Gas	Integrated	2050 credible net zero commitment required to remain investable
10102020	Oil & Gas Exploration & Production	Upstream	Exclusion
10101010	Oil & Gas Drilling	Upstream	Exclusion
10101020	Oil & Gas Equipment & Services	Upstream	Exclusion
10102040	Oil & Gas Storage & Transportation	Midstream	Exclusion
10102030	Oil & Gas Refining & Marketing	Downstream	Exclusion

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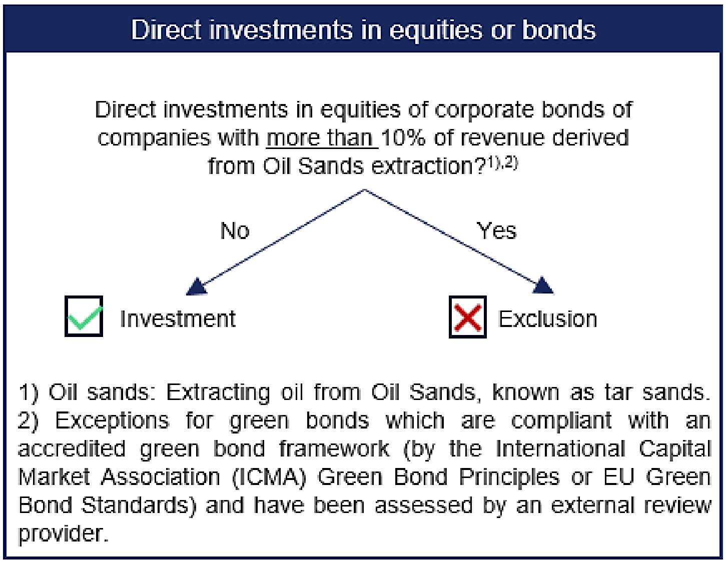
4.3.1.1.4 Oil Sands

Exclusion

Munich Re Group does not invest directly in equities or bonds issued by companies that derive more than 10% of their revenues from Oil Sands extraction. We may invest in green bonds issued by Oil Sands companies which are compliant with an accredited green bond framework (by the ICMA Green Bond Principles or the EU Green Bond Standard), and have been assessed by an external review provider.

Figure 4: Decision tree for Oil Sands (liquid assets)



4.3.1.1.5 Thermal Coal

Exclusion

For Thermal Coal, we apply two types of exclusions:
First, **relative exclusion criteria** where we rule out direct investments in listed equities or corporate bonds of companies that:

- derive more than 15% of their revenues from Thermal Coal mining and/or the generation of electricity from Thermal Coal firing.

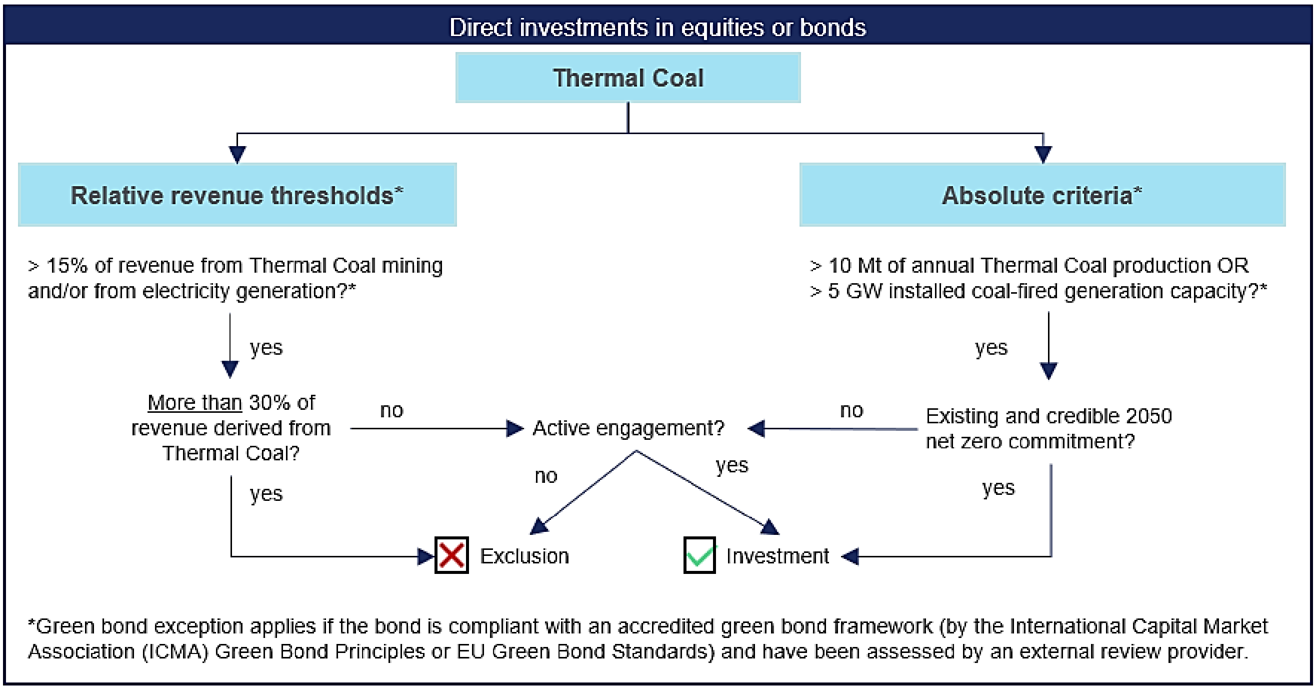
Second, **absolute exclusion criteria** where we rule out direct investments in listed equities or corporate bonds of companies that:

- have an annual Thermal Coal production above 10 megatons (Mt), or
- have an installed coal-fired generation capacity above 5 gigawatts (GW).
- Exceptions apply for companies, affected by absolute exclusion criteria regarding coal production and installed capacity, that have a credible commitment to net zero GHG emissions by 2050, including corresponding short- and mid-term milestones. These companies are selected and assessed based on data provided by ISS ESG.

For **both types of exclusion**, an exception for green bonds and engagement applies under specific conditions. In order to support the transition to a low-carbon economy and to finance the issuer's transition, green bonds issued by affected companies remain investable subject to specific requirements: the green bond must be compliant with an accredited Green Bond Framework (by the ICMA Green Bond Principles or EU Green Bond Standard) and assessed by an external review provider.

In selected cases (companies meeting absolute KPI exclusions and companies with relative revenue thresholds between 15 % and 30%), GIM Sustainability in Investments may decide to engage with companies in line with the approach outlined in section 4.5 rather than ceasing to invest.

Figure 5: Decision tree for Thermal Coal (liquid assets)



4.3.1.2 Bonds from sovereigns, sub-sovereigns and government agencies

4.3.1.2.1 ESG country rating

Exclusion

Direct investments in sovereigns, sub-sovereigns, and government agencies of countries rated “CCC” by MSCI (ESG Rating scale AAA-CCC) are not permitted.

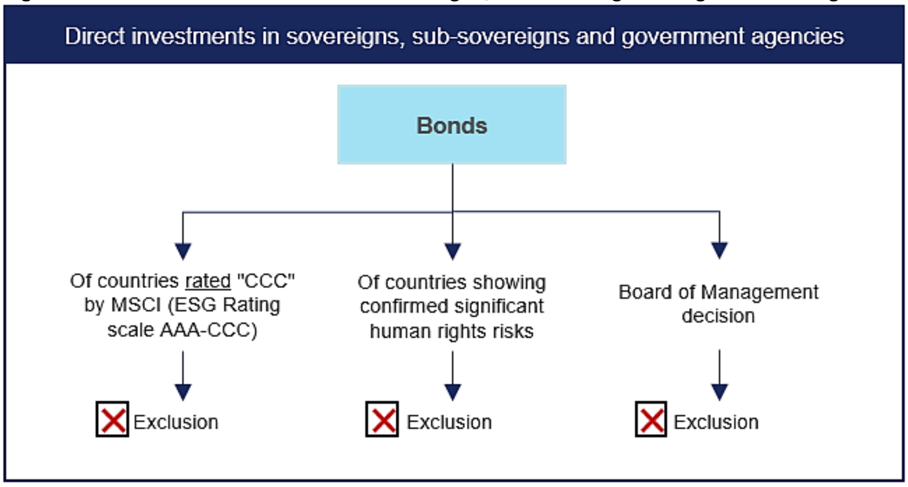
4.3.1.2.2 Human rights

Exclusion

For sovereign, sub-sovereign and government agency risk analysis, we apply a country-specific human rights score based on data from an external provider and taking into account factors such as modern slavery, forced labour and child labour.
We monitor our portfolio accordingly and exclude countries with extreme risks. GIM regularly monitors the exposure to countries with high risk. The methodology regarding the country-specific human rights score is continuously revised.

If there is any indication of increased reputational risk for countries that have not yet been sanctioned, the Board of Management may decide to exclude them.

Figure 6: Decision tree for bonds from sovereigns, sub-sovereigns and government agencies (liquid assets)



4.3.1.3 Commodities

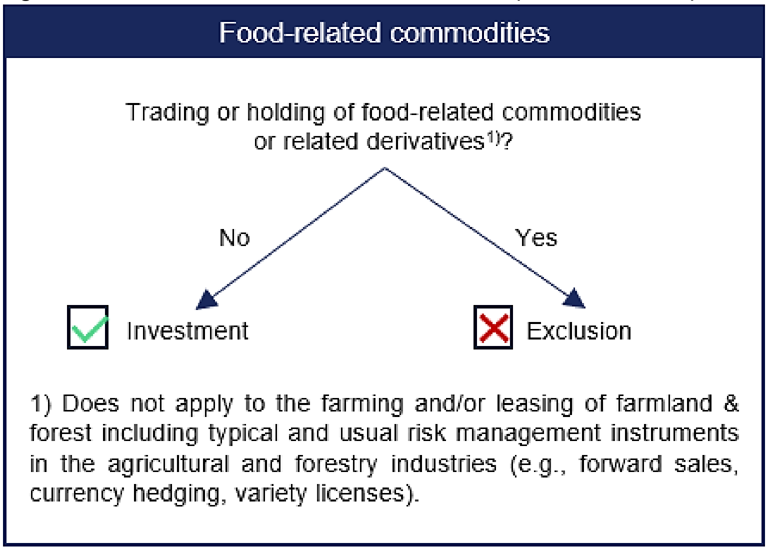
4.3.1.3.1 Food-related transactions

Exclusion

We do not trade or hold investments in food-related commodities (e.g. grains and oilseeds, livestock, dairy, etc.) or related derivatives. This prohibition does not apply to the farming and/or leasing of farmland or forest, including typical and usual risk management instruments in the agricultural and forestry industries (e.g. forward sales, currency hedging, variety licenses).

Checklist for food-related commodities	
No trading or holding of investments in food-related commodities (e.g. grains and oilseeds, livestock, dairy, etc.) or related derivatives	
Exceptions for farming and/or leasing of farmland or forest	

Figure 7: Decision tree for food-related commodities (alternative assets)



4.3.2 Regarding alternative assets

We integrate sustainability criteria into the investment processes for alternative asset classes as described below, and we continuously aspire to provide “best effort” sustainability processes as far as feasible. In the field of alternative assets, we have defined climate tackling investments that aim to contribute to climate change mitigation, for example (see section 4.4.1).

When making new direct alternative investments via our internal asset manager MEAG, we assess the investments as part of the due diligence process using sustainability criteria. The sustainability assessment is also part of the risk management second opinion compiled by MEAG. The MEAG ESG & Sustainable Finance department is involved in the due diligence process. When making the investment decision, key findings of the sustainability assessment are presented to the GIM AIIC.

For the following alternative assets, we apply certain exclusions or require certain standards (restrictions) as listed per sub-asset class below. **The applicability of the measures described in the following chapters is subject to the overarching, important remarks outlined in section 2.3.**

4.3.2.1 Infrastructure investments

4.3.2.1.1 Biodiversity

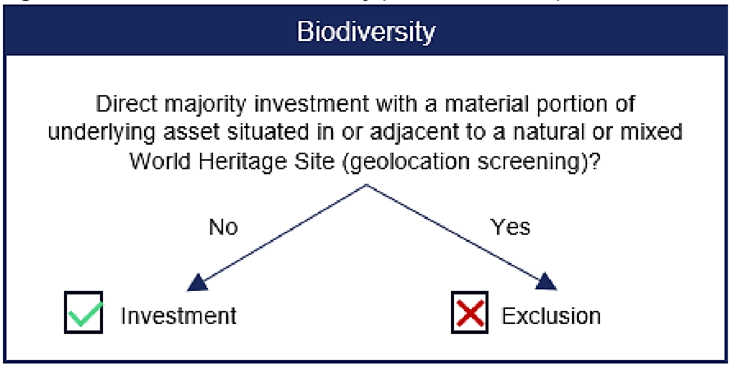
Exclusion

We conduct a review of alternative investments, except private equity and private debt funds, using the Integrated Biodiversity Assessment Tool (IBAT) as part of the due diligence process. IBAT provides commercial users with spatial data on biodiversity globally from several key datasets, such as natural and mixed UN World Heritage Sites (as defined by the UNESCO World Heritage Convention).

We do not make direct alternative majority investments via our internal asset managers if a material portion of the underlying assets is situated in a natural or mixed World Heritage Site. In ambiguous cases (e.g. regarding materiality), the GIM AIIC is informed and may involve the GIM RRC.

Checklist for biodiversity	
Execution of geolocation data screening during initial project acquisition phase and more intensive research during the due diligence process	
No direct alternative majority investments via our internal asset managers if a material portion of the underlying assets is situated in a natural or mixed World Heritage Site (UNESCO)	
Information of GIM AIIC in ambiguous cases (e.g. regarding materiality), potential involvement of the GIM RRC by the GIM AIIC	
For indirect investments with limited transparency, engagement with counterparty aiming to include restrictions	

Figure 8: Decision tree for biodiversity (alternative assets)

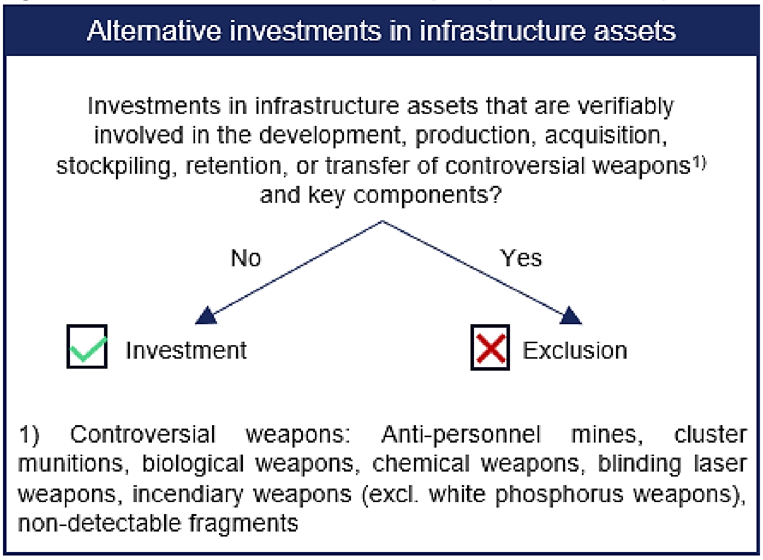


Exclusion

4.3.2.1.2 Controversial weapons

With regard to alternative investments, we do not invest in any infrastructure assets that are verifiably involved in the development, production, acquisition, stockpiling, retention or transfer of controversial weapons according to our definition[4].

Figure 9: Decision tree for controversial weapons (alternative assets)



[4] Controversial weapons categories are defined as anti-personnel mines, cluster munitions, biological weapons, chemical weapons, blinding laser weapons, incendiary weapons (excl. white phosphorus weapons), and non-detectable fragments.

4.3.2.1.3 Human rights

Restriction

When making new direct infrastructure investments through our internal asset managers, we consider a list of human rights-specific requirements as part of the due diligence process. Any significant controversial indicators of human rights violations are reported to the GIM AIIC prior to taking an investment decision. The GIM AIIC may involve the GIM RRC.

Checklist for human rights	
Adherence to human rights principles throughout the due diligence process (ESG Criteria Evaluation tools, etc.)	
For indirect investments, integration of human rights principles in side letters	
Reporting of any controversies indicating violations of human rights to the GIM AIIC prior to taking an investment decision. The GIM AIIC may involve the GIM RRC.	

4.3.2.1.4 Oil & Gas

Exclusion

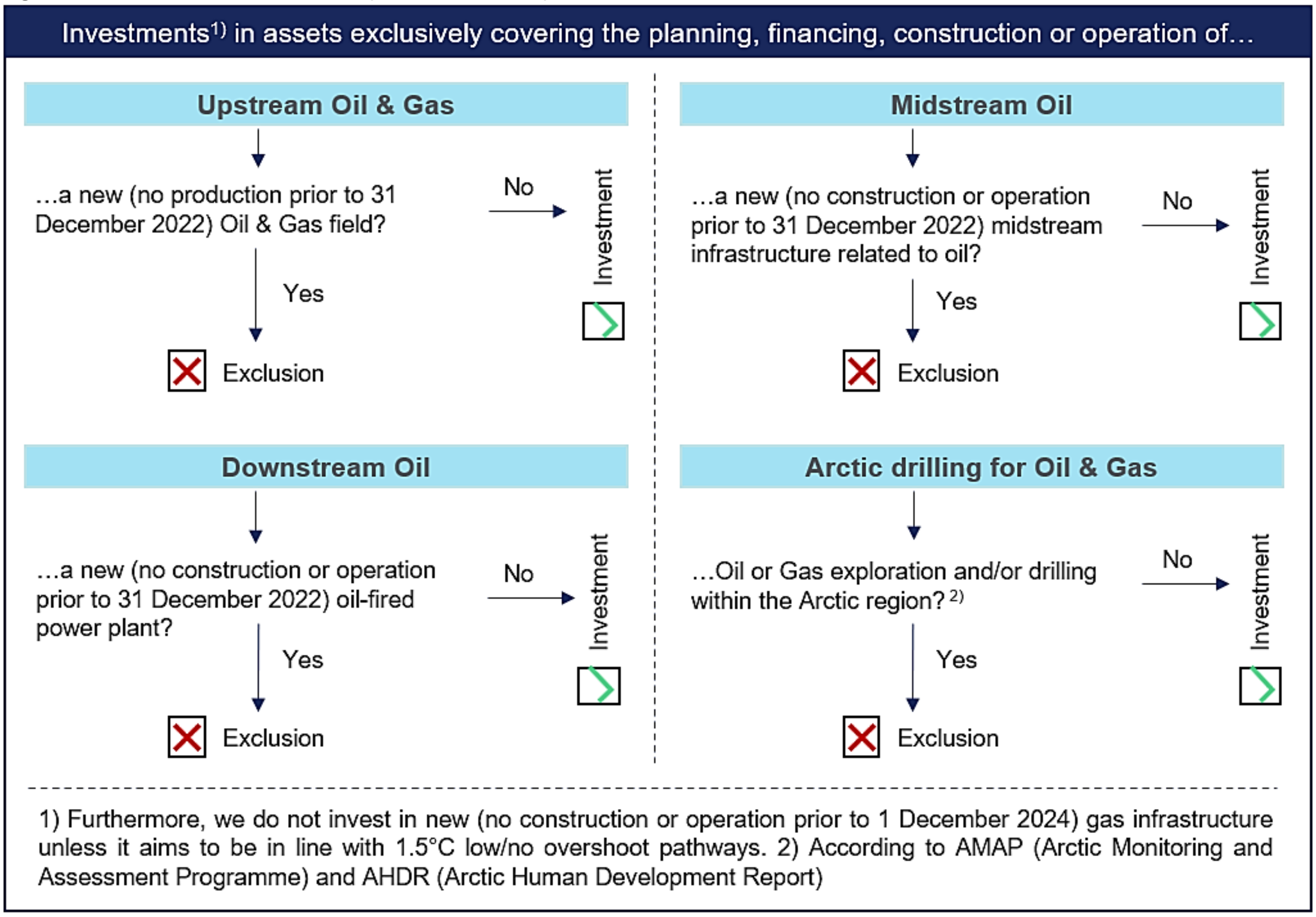
As of 1 April 2023, we no longer invest in assets exclusively covering the planning, financing, construction or operation of

- new Oil & Gas fields in which, as at 31 December 2022 no prior production had taken place,
- new midstream infrastructure related to oil, which was not yet under construction or in operation as at 31 December 2022,
- new oil fired power plants, which were not yet under construction or in operation as at 31 December 2022.

Furthermore, we do not invest in new gas infrastructure (not under construction or in operation as at 1 December 2024) unless it aims to be in line with 1.5°C low/no overshoot pathways. Direct investments in Oil & Gas exploration and drilling within the Arctic region, as specified by the AMAP (Arctic Monitoring and Assessment Programme) and AHDR (Arctic Human Development Report), are prohibited.

Checklist for Oil & Gas	
No new investments in new Oil & Gas fields in which, as at 31 December 2022, no prior production had taken place	
No new investments in new midstream infrastructure related to oil which was not yet under construction or in operation as at 31 December 2022	
No new investments in new oil-fired power plants which were not yet under construction or in operation as at 31 December 2022	
No direct investments in Oil & Gas exploration and drilling within the Arctic region	

Figure 10: Decision tree for Oil & Gas (alternative assets)

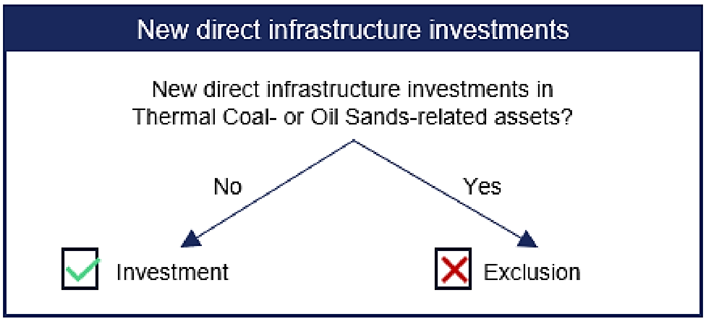


4.3.2.1.5 Thermal Coal and Oil Sands

Exclusion

We exclude new direct infrastructure investments in Thermal Coal or Oil Sands-related assets.

Figure 11: Decision tree for Thermal Coal and Oil Sands projects (alternative assets)



4.3.2.2 Forestry & agriculture investments

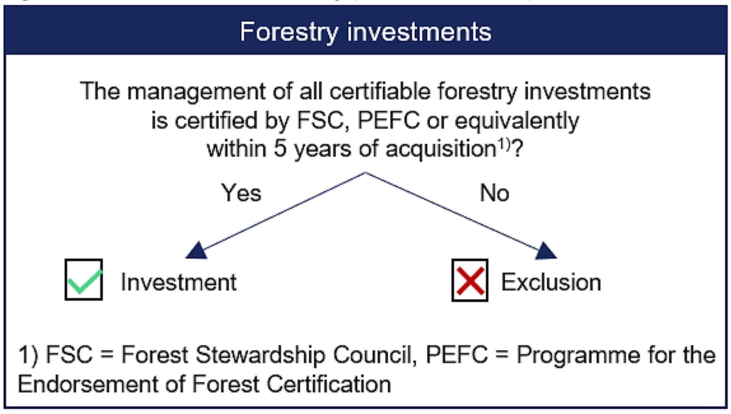
4.3.2.2.1 Certifications

Restriction

Sustainability considerations are comprehensively integrated into the investment process. Environmental, climate change and biodiversity aspects, as well as human rights and workforce safety issues, are among the major topics considered.

For forestry investments, we focus on the asset managers/property managers and analyse their respective certifications, placing specific demands on them: Munich Re Group stipulates that asset managers/property managers must ensure that the management of all Certifiable Forestry Investments is certified by the Forest Stewardship Council (FSC), Programme for the Endorsement of Forest Certification (PEFC), or an equivalent, within 5 years of acquisition. Forestry investments that do not meet this requirement are prohibited.

Figure 12: Decision tree for forestry (alternative assets)



4.3.2.2.2 Sustainability specifics in the due diligence process

Restriction

For each new direct forestry & agriculture investment made by the internal asset manager, detailed "ESG Criteria Evaluation for Forestry Investments" and "ESG Criteria Evaluation for Agricultural Investments" questionnaires are applied, shedding light on sustainability aspects, including biodiversity and human rights. Moreover, Munich Re Group's internal assessment framework is applied, covering physical climate risks.

Checklist for forestry	
Existing or planned future certification of forestry management by FSC, PEFC, or an equivalent within 5 years of acquisition	
Checklist for forestry & agriculture	
Application of "ESG Criteria Evaluation for Forestry Investments" or "ESG Criteria Evaluation for Agricultural Investments"	
Presentation of key findings from the ESG evaluation to the GIM AIIC	
For internal asset managers: Involvement of the responsible sustainability team in the due diligence process	

4.3.2.2.3 Biodiversity

Exclusion

Analogue to infrastructure investments, please refer to section 4.3.2.1.

4.3.2.2.4 Human rights

Restriction

Analogue to infrastructure investments, please refer to section 4.3.2.1.

4.3.2.3 Private equity and private debt fund investments

4.3.2.3.1 RIG requirements for indirect investment products

For indirect investment products (fund investments), compliance with RIG requirements cannot be ensured. For private equity and private debt funds, the asset manager should make and document best efforts to negotiate the inclusion of the relevant requirements in the fund documentation or encourage the fund manager to include these requirements in the production/portfolio selection process.

4.3.2.3.2 GP's PRI signature or sustainability policy

For our new investments in private equity, private debt and infrastructure funds, we check whether the general partner (GP) has signed the PRI or whether the GP has its own sustainability policy. We take this into account when deciding on the selection of the GP. Depending on the product/investment, this is handled by either GIM or MEAG. We also inform the GP about additional restrictions as per this Guideline and our desire to include these in a side letter.

4.3.2.4 Real estate[5] investments

4.3.2.4.1 Real estate equity

4.3.2.4.1.1 Direct real estate investments

4.3.2.4.1.1.1 Sustainability specifics in the due diligence process

Restriction

We require our internal asset managers to pre-screen for certain sustainability criteria for new direct real estate investments as part of environmental due diligence during the acquisition process. In addition, an internal ESG assessment is carried out using an ESG Criteria Evaluation tool, including selected key E, S and G criteria. Wherever possible, a GHG footprint should be available for the investment.

Please see the listed measures and implementation processes in the key topic areas.

Acquisition	
Carrying out a comprehensive ESG audit using an ESG evaluation template, including CRREM analysis and physical risk assessment for the acquisition	
Conducting environmental due diligence as part of every acquisition	
Risk exposure checks consisting of screening with regard to the consideration of biodiversity (IBAT tool) and human rights	
Evaluation by the Investment Committee (either MEAG Investment Committee or GIM AIIC)	
ESG integration for construction projects	
Carrying out a Carbon Risk Real Estate Monitor (CRREM) analysis and determination of the misalignment year	
Certification of the developments and checking for EU taxonomy alignment	
Testing and integration of Smart Building Solutions where feasible	
ESG integration in the legacy portfolio	
Carrying out a Carbon Risk Real Estate Monitor (CRREM) analysis and determination of the misalignment year	
Ongoing analysis of ESG aspects and development potential in the portfolio	
Integration of the measures identified into the object strategies and cash flows	
Other	
Implementation of sustainability-related lease contract clauses	
Installation of smart meters	
Establishment of an internal ESG data platform	

4.3.2.4.1.1.2 Biodiversity

Exclusion

Analogue to infrastructure investments, please refer to section 4.3.2.1.

4.3.2.4.1.1.3 Controversial weapons

Exclusion

As regards direct real estate, we rule out companies that have been excluded due to their involvement in controversial weapons as tenants for properties in our real estate portfolio.

4.3.2.4.1.1.4 Human rights

Restriction

Analogue to infrastructure investments, please refer to section 4.3.2.1.

[5] Real estate investments exclude all own-use properties.

4.3.2.4.1.2 External real estate investments

4.3.2.4.1.2.1 Specific requirements for third-party asset managers

Restriction

When it comes to third-party asset managers, we focus on managers who have integrated sustainability considerations across the investment lifecycle. The definition of real estate-specific sustainability roles and responsibilities is a requirement. Investment strategies have to comply with a set of minimum sustainability criteria (e.g. Green Building certification). An ESG rating like the Global Real Estate Sustainability Benchmark (GRESB) is an advantage.

4.3.2.4.1.3 Real estate debt (mortgages)

4.3.2.4.1.3.1 Sustainability specifics in the lending policy

Restriction

The sustainability approach to real estate debt is focused on sustainability selection criteria.

Being a debt lender, however, implies no direct access to the underlying real estate assets, which is why a meaningful sustainability assessment depends on the quality of the data provided by the investor/owner of the building.

Please see the listed measures and implementation processes in the key topic areas.

Commercial real estate loans (institutional borrowers) - new business	
Carrying out a comprehensive ESG assessment for the underlying real estate assets (collateral) and investors (owner of the real estate; sponsor) using an ESG evaluation template	
Over the course of the loan tenor, regular monitoring of the ESG criteria	
Residential housing loans (institutional borrowers) - new business	
Approach comparable with commercial real estate loans	
Mortgage loans for private customers - new business	
ESG assessment with focus on "E" of underlying real estate (collateral) and referring to established market benchmarks	
Product offerings for this client group include - where feasible - "KfW"[6] loans (public subsidies; KfW loan program "Federal Funding for Efficient Buildings") to support the construction of new houses or housing refurbishment work with a focus on energy efficiency	
Loan portfolio management	
Ongoing sustainability analyses to identify development potential in the overall portfolio	
Integration of the measures identified into the portfolio steering process	
Applicable for all client groups	
Assessment of physical climate risks (Munich Re Risk Tool) and – when needed - mitigation for the collaterals	
Establishment of an internal ESG data platform	
Checking und reporting of EU Taxonomy alignment and GHG carbon footprint of the mortgage loan portfolio	

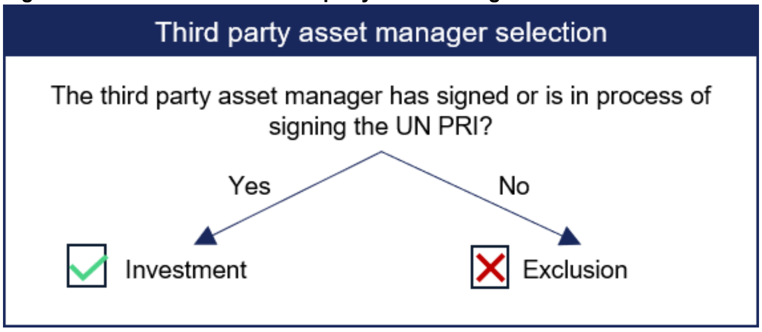
[6] KfW = Kreditanstalt für Wiederaufbau (German Development Bank)

4.3.3 Third party asset managers

4.3.3.1 Selection process

Munich Re Group only works with asset managers with dedicated sustainability capabilities, and only selects asset managers that are UN PRI signatories or are in the process of becoming one. Exceptions are decided on by GIM RRC.

Figure 13: Decision tree for third party asset manager selection



A Request for Proposal (RfP) must be filled out by potential asset managers, outlining their sustainability capabilities, strategy and research approach. It also covers the individual approach, where applicable, regarding engagements, as well as GHG footprint measurement, decarbonisation, biodiversity and human rights within the investment process. GHG emission reporting capabilities are required for markets/asset classes where relevant data of a sufficient quality is available. The evaluation of the RfP is followed by a detailed dialogue with the asset managers to further evaluate their sustainability efforts. The ESG policy of the asset manager is also requested. The selection process continues with an overall scoring of the asset managers, including a dedicated section for sustainability considerations. Based on this overall scoring, the most suitable asset manager is selected and the onboarding process begins.

4.3.3.2 Steering and monitoring

For mandates in a liquid asset class, we aim to integrate measures to steer decarbonisation. If these measures are not met, intensified discussions will be initiated with the asset manager.
The asset managers are monitored on a regular basis, with relevant sustainability-related topics being reviewed and adherence to exclusions being confirmed by the asset manager. This is done via review meetings at least on an annual basis by the Asset Manager Selection Team, in exchange with the GIM Sustainability in Investments Team.

4.3.3.3 Compliance and escalation

In liquid mandates, non-Group managers need to comply with Munich Re Group's exclusion list in the asset classes fixed income and equities. The exclusions are then coded into the asset manager's limit system, where potential violations will be blocked. If an excluded name is traded, it will result in an active breach of the Investment Guideline. Corresponding escalation mechanisms are described in the implementation, monitoring and escalation chapter of this Guideline. **The applicability of the measures described in the following chapters is subject to the overarching, important remarks outlined in section 2.3.**

For illiquid mandates, in the contractual negotiations with external asset managers, we aim to include a reference to the Munich Re Group's exclusion list. It is the explicit obligation of the asset manager to ensure strict adherence to contractual agreements. In the event of non-compliance, the asset manager shall take immediate corrective action to remedy the situation and notify GIM. Failure to do so will result in the mandate being categorically downgraded to “red” status, as reflected in GIM’s quarterly internal reviews, and a formal alert will be issued to AIIC via a red light note. The next steps will be agreed and implemented jointly.

4.4 Sustainability-related financial instruments

4.4.1 Climate tackling investments

We refer to investments that aim to positively contribute to our sustainable investment strategy as climate tackling investments. Currently, these include energy-related investments, certified real estate investments and certified forestry management investments.

4.4.1.1 Energy-related investments

By thematic investing, we seek to increase our energy-related investments to promote the energy transition. Energy-related investments include selected investments in projects, companies and technologies that aim to facilitate the reduction of GHG emissions by improving the production, management, distribution or use of energy, heat and power. This includes, but is not limited to, renewables, energy efficiency, electro-mobility, storage technologies, heat supply and grids.

4.4.1.2 Certified real estate investments

We define certified real estate investments as those which are certified by EU Green Building, Building Research Establishment Environmental Assessment Method (BREEAM), Leadership in Energy and Environmental Design (LEED), Deutsche Gesellschaft für Nachhaltiges Bauen (DGNB) or that have other equivalent certifications. If an existing certification expires, re-certification will be commissioned in due time. In cases where a higher level of certification is required or achievable, additional measures may be implemented. Assets undergoing a re-certification process will continue to be considered as certified.

New direct real estate investments must obtain an ecolabel or a recognised level of certification. If an investment property is not certified, the asset manager must determine the measures required for certification and factor in the costs of these measures into the cash flow base case to initiate the certification process.

It is also necessary to ensure compatibility of optimisation/refurbishment work with sustainability aspects on existing properties. Measures to achieve the certifications mentioned are highly recommended in order to improve the sustainability of the existing portfolio.

4.4.1.3 Certified forestry management investments

We define forest investments as sustainable if the management has an existing certification by FSC, PEFC or an equivalent certification. The asset manager assesses each investment individually using sustainability criteria during the due diligence process.

Sustainability criteria should be promoted and integrated into ongoing management activities. Independent reviews of applied management practices from FSC, PEFC or equivalent certifiers are of utmost importance, as they verify ongoing sustainable forest management activities.

4.4.2 Green bonds

We understand green bonds as bonds that are linked to investments like renewable energies, sustainable waste management, biodiversity conservation or sustainable land use according to our data provider. This classification is based on the issuing documents, stock exchange announcements or information from parties involved in the issue (e.g. lead managers). Moreover, the green bonds we report on have to be compliant with an accredited green bond framework (by the ICMA Green Bond Principles or the EU Green Bond Standard) and assessed by an external review provider.

We will continuously refine this approach to reflect the changing regulatory environment. As outlined under the restrictions regarding Thermal Coal, Oil Sands and Oil & Gas above, we may invest in green bonds issued by companies on our exclusion lists in specific exceptional cases.

4.4.3 Sustainability-linked bonds (SLBs) and sustainability-linked loans (SLLs)

We invest in SLBs and SLLs if these instruments are compliant with an accredited green bond framework, i.e. the ICMA Principles for SLBs and SLLs, and are assessed by an external review provider.

4.5 Stewardship approach

Munich Re Group engages in stewardship activities (mainly via asset managers) to promote high sustainability standards. This process focuses on:

- engaging with investees/issuers and with our asset managers (please also refer to the section on third-party asset managers),
- holding them to account on defined material issues, and
- exercising voting rights and responsibilities.

One focus area of our stewardship activities is pursuing our targets towards achieving net zero, which is part of our sustainable investment strategy. It is intended to support our contribution to meeting the goals set out in the Paris Agreement. Another topic we focus on is human rights. Furthermore, we engage with our external asset managers on their sustainability policies.

4.5.1 Governance and escalation mechanisms

For the assets in scope of this policy, GIM sets the framework for engagement and voting activities. As our internal asset manager, MEAG performs most of the stewardship activities in close contact with, and with guidance from, GIM. Third-party asset managers are expected to pursue their own stewardship approach and have to report on their activities at regular intervals.

The ESG IC approves proposed stewardship targets (e.g. company engagements or proxy voting activities) with a focus on meeting climate investment goals, sustainability risks, human rights aspects, controversies and opportunities, as well as general stewardship matters that protect the investment interests of Munich Re Group. These goals are reviewed on a regular basis. As an escalation mechanism, the ESG IC decides on investment consequences for specific holdings where stewardship goals are not met. Regarding proxy voting, the ESG IC is informed on an annual basis and discusses the season's proxy voting results.

4.5.2 Scope

Our stewardship activities focus on engagement with our current and potential investees, or with other issuers based on a dedicated selection process. Currently, we are focusing on high emission contributors in our liquid portfolio, as well as selected illiquid assets. Another topic that we are concentrating on for our liquid portfolio is human rights. Engagements are performed mainly via MEAG's Center of Competence for Stewardship.

Moreover, we consider proxy voting as a measure to hold investee companies accountable. For equities, MEAG is instructed in accordance with a specific process to exercise and disclose proxy-voting rights at annual general meetings on Munich Re Group's behalf.

4.5.3 Approach

In the engagement dialogue, material topics such as high standards of corporate governance and responsible management of environmental and social aspects are addressed. Our focus topics include climate considerations relating to the targets set as part of the climate strategy, as well as our expansion to include human rights by endorsing the collaborative platform PRI advance.

The strategic engagement framework, jointly developed by GIM and MEAG, includes several steps: First, a materiality assessment is conducted to select invested companies for an engagement. This involves analysing invested companies according to selective criteria (e.g. climate materiality KPIs). Our climate strategy places particular emphasis on the sectors Thermal Coal and Oil & Gas. For both sectors, a process is in place to engage with investees to develop a credible transition strategy.
When an investee/issuer is selected, the second step involves developing a detailed engagement roadmap with time-bound milestones. Monitoring and evaluation complement the process (further described in 4.5.6 Monitoring, reporting and disclosure).
To qualify as an engagement, contact with the engagement target has to take place at least twice a year and the engagement has to run for an extended period of time.
Regarding our proxy voting, we place special focus on contributing to Munich Re Group Ambition and hence to net zero topics.

4.5.4 Engagement

Our Group-internal asset manager MEAG engages with target companies, as we are convinced that positive change is achieved through constructive dialogue with our investees/issuers. Our engagements - conducted by MEAG's Center of Competence for Stewardship - are focused on achieving a lasting improvement in the management of climate risks and opportunities for investees/issuers. MEAG's engagement approach is outlined in the MEAG Engagement Policy[7].

[7] The MEAG Engagement Policy can be found here: https://www.meag.com/en/esg/esg-governance.html

4.5.5 Voting activities

MEAG is required to exercise voting rights for our investments at the annual general meeting on behalf of Munich Re Group. It is important for us to reflect the success of our engagements when exercising our voting rights. In cases involving conflicts of interest in relation to proxy voting, we have processes in place. Details regarding our framework related to voting activities, and the voting results, are made transparent in the MEAG Proxy Voting Policy[8] and the MEAG Participation Policy[9].

4.5.6 Monitoring, reporting and disclosure

GIM oversees all engagement and voting activities and monitors their progress by setting a framework for reporting. For MEAG-led engagements, this is achieved using a dedicated template to track progress which is discussed and reviewed on a quarterly basis by GIM and MEAG. Furthermore, all asset managers are required to report their engagement activities to GIM on an annual basis (also ad hoc where necessary). Overall, the engagement seasons are reviewed and discussed in the ESG IC. Particular focus is placed on companies that have already been engaged for three years: a detailed discussion is organised if the engagement is achieving the expected progress in order to decide on its continuation and potential escalation. The proxy voting season is made transparent by MEAG through their public voting report[10].

[8] The MEAG Proxy Voting Policy can be found here: https://www.meag.com/en/esg/esg-governance.html

[9] The MEAG Participation Policy can be found here: https://www.meag.com/en/esg/esg-governance.html

[10] Proxy voting results are displayed at the end of this page: https://www.meag.com/en/esg/stewardship.html

5 Appendix: Definitions and abbreviations

In this Guideline, the terms and abbreviations used have the following meanings:

Alternative investments	Infrastructure equity and debt, real estate equity and debt, forestry, agriculture, private equity, private debt
BREEAM	Building Research Establishment Environmental Assessment Method
CEO	Chief Executive Officer
Certified forestry management investments	Investments in forests where the management has an existing certification by FSC, PEFC or an equivalent certification.
Certified real estate investments	Investments in real estate that are certified by EU Green Building, Building Research Establishment Environmental Assessment Method (BREEAM), Leadership in Energy and Environmental Design (LEED), Deutsche Gesellschaft für Nachhaltiges Bauen (DGNB) or that have other equivalent certifications.
CFO	Chief Financial Officer
CIO	Chief Investment Officer
Climate-tackling investments	Thematic investments that aim to positively contribute to our sustainable investment strategy including energy-related investments, certified real estate investments, and certified forestry management investments.
Controversial weapons	Certain weapon categories as defined in 4.3.1.1.1
CRREM	Carbon Risk Real Estate Monitor
DGNB	Deutsche Gesellschaft für Nachhaltiges Bauen
Direct alternative investments	Direct infrastructure projects incl. forestry, agriculture and real estate
Engagement	Interactions and dialogue conducted between an investor, or their service provider and a current or potential investee (e.g. company), or a non-issuer stakeholder (e.g. an external investment manager or policy maker) to improve practice on an ESG factor, make progress on sustainability outcomes, or improve public disclosure. In private markets, engagement also refers to investors' dialogue with management teams and/or Board of portfolio companies and/or real assets. (PRI, 2025)
ESG	Environmental, Social and Governance
ESG C	Munich Re ESG Committee
ESG IC	Munich Re ESG Investment Committee
ESG MT	Munich Re ESG Management Team
Energy-related investments	Energy-related investments include selected investments in projects, companies and technologies that aim to facilitate the reduction of GHG emissions by improving the production, management, distribution or use of energy, heat and power. This includes, but is not limited to, renewables, energy efficiency, electromobility, storage technologies, heat supply, grids
ESP	Group unit "Economics, Sustainability and Public Affairs"
ETF	Exchange Traded Fund
EU	European Union
FSC	Forest Stewardship Council
GIM	Group unit "Group Investment Management"
GIM AIIC	GIM Alternative Investments Investment Committee
GIM RRC	Group Investment Management Reputational Risk Committee
GP	General Partners

GRESB	Global Real Estate Sustainability Benchmark
ICMA	International Capital Market Association
IFRS	International Financial Reporting Standards
Indirect alternative investments	Fund investments in private equity, private debt, infrastructure, forestry, agriculture, and real estate
ISS	Institutional Shareholder Services (data service provider)
KPI	Key Performance Indicator
LEED	Leadership in Energy and Environmental Design
MEAG	MEAG MUNICH ERGO AssetManagement GmbH (individually designated "MEAG AMG") or MEAG MUNICH ERGO Kapitalanlagegesellschaft mbH (individually designated "MEAG KAG"), whereas MEAG AMG and MEAG KAG collectively "MEAG"
Misalignment year	In CRREM (Carbon Risk Real Estate Monitor), the "misalignment year" refers to the year when a building's energy use intensity (EUI) is projected to exceed the target EUI set by CRREM for its specific building type and region, based on a 1.5°C or 2°C warming scenario. In essence, it indicates when a building's energy performance deviates from the trajectory needed to meet the goals of the Paris Agreement.
MR AG	Münchener Rückversicherungs-Gesellschaft Aktiengesellschaft in München, including its worldwide branches)
MSCI	Morgan Stanley Capital International (data service provider)
Munich Re Group entities	In terms of this guideline, as defined in section 2.1 entities in scope.
Negative screening	Applying filters to a universe of securities, issuers, investments, sectors or other financial instruments to rule them out, based on poor performance related to ESG factors relative to industry peers or specific environmental, social or governance criteria. This may include ruling out particular products, services, regions, countries or business practices. (PRI, 2023)
Norm-based screening	Applying rules to determine whether securities, issuers, investments, sectors or other financial instruments are permissible for inclusion in an investment product or portfolio based on compliance with standards of practice aligned with international norms. Widely recognised frameworks for minimum standards include the OECD Guidelines for Multinational Enterprises, the International Bill of Human Rights, and the UN Global Compact. (PRI, 2025)
NZAOA	Net Zero Asset Owner Alliance
Oil and Gas sectors	GICS Subindustries: Integrated Oil & Gas, Oil & Gas Exploration & Production, Oil & Gas Drilling, Oil & Gas Equipment & Services, Oil & Gas Storage & Transportation, and Oil & Gas Refining & Marketing
PEFC	Programme for the Endorsement of Forest Certification Schemes
PRI	Principles for Responsible Investment
(Proxy) voting	The exercise of voting rights on management and/or shareholder resolutions to formally express approval, or disapproval, on relevant matters. This includes being responsible for how votes are cast on topics that management raises and submitting resolutions as a shareholder for other shareholders to vote on, in jurisdictions where this is possible. Investors can vote in person during an Annual General Meeting (AGM), or by proxy – using a person or firm, such as an investment manager, to vote on their behalf. (PRI, 2025)

RIG	Responsible Investment Guideline
SLB	Sustainability-Linked Bonds
SLL	Sustainability-Linked Loans
Stewardship	The use of investor rights and influence to protect and enhance overall long-term value for clients and beneficiaries, including the common economic, social, and environmental assets on which their interests depend. (PRI, 2025)
Thematic investing	An approach which focuses on selecting assets to access specified ESG trends. (PRI, 2025)